ISSUER REVIEW · 6M2026

Augstsprieguma tīkls (AST)

OK

Latvia · Electricity transmission system operator (Latvia); 68.46% of Conexus Baltic Grid (gas transmission an

Position OK. AST is Latvia's 100% state-owned electricity transmission operator, rated A-[4,1]. For the EUR 100m bond maturing on 2027-01-20 it holds EUR 94.7m of cash and an undrawn SEB overdraft of up to EUR 90m[5].

EBITDA · 6M2026
61.4 EUR m
▲ 22.3 % vs 6M2025

NET PROFIT · 6M2026
22.5 EUR m
▲ 17.8 % vs 6M2025

NET DEBT / EBITDA · 6M2026
0.93 x
▼ 0.39x vs FY2025

EQUITY RATIO · 6M2026
40 %
▼ 1 p. p. vs 6M2025

Quick summary

- **Results improving:** 1H EBITDA EUR 61.4m (50.2m), margin 33% (28%); profit EUR 22.5m (19.1m)[6].
- **Low debt:** net debt about EUR 94m, about 0.9 times annual EBITDA (own calculation); equity ratio 40%[6].
- **Bond redemption covered:** for the EUR 100m green bond due January 2027 there is an SEB overdraft of up to EUR 90m (to 2027-03-10), undrawn at 2026-06-30[7,1].
- **Large investments:** EUR 209m invested in 2025; the Development Plan 2027-2036 is EUR 1,066m, of which up to EUR 289m is EU co-financing[8,7].

Key facts

ISSUER RATING
A- with a stable outlook (agency not named in the report)[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-30[3]

COUNTRY
Latvia

Securities held

AST 0.5% green bond 2027
LV0000802528 · 0.5% · 2027-01-20
Green bond · no separate rating found

01 Instruments held and ISINs

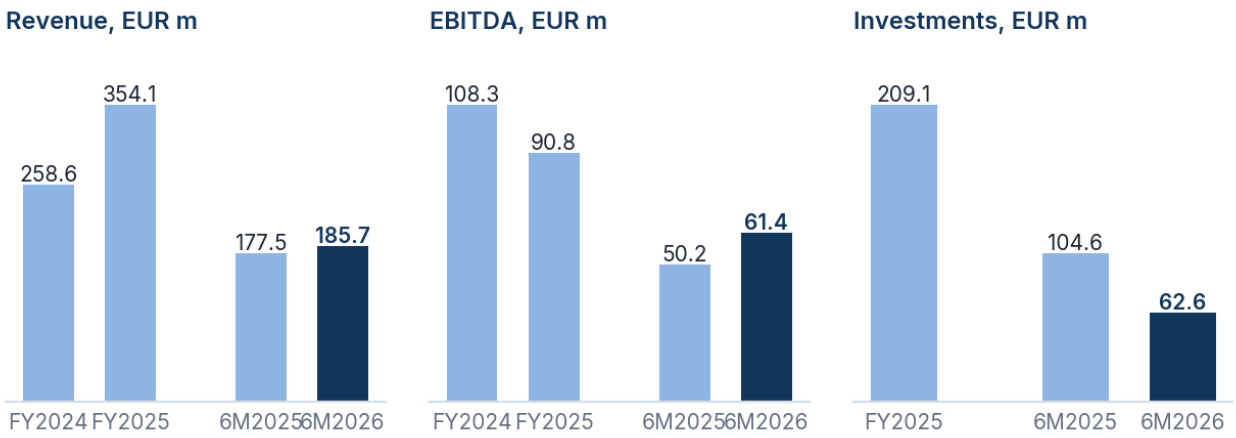
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
LV0000802528	AST 0.5% green bond 2027 Green bond	0.5%	2027-01-20	no separate rating found (not rated separately: the issuer chose not to rate its bonds (S&P issuer rating A-))	Listed 2021-11-29; refinancing backed by SEB overdraft up to EUR 90m (to 2027-03-10)

02 Key ratios

METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[9,6]	258.6*	354.1*	177.5*	185.7*	▲ 4.6 % vs 6M2025
EBITDA, EUR m[9,6]	108.3*	90.8*	50.2*	61.4*	▲ 22.3 % vs 6M2025
Net profit, EUR m[9,6]	22.7*	27.5*	19.1*	22.5*	▲ 17.8 % vs 6M2025
Investments, EUR m[8,6]	–	209.1*	104.6*	62.6*	▼ 40.2 % vs 6M2025
Net debt, EUR m[9,6]	74.2ᶜ	120.0ᶜ	134.3ᶜ	94.4ᶜ	▼ 29.7 % vs 6M2025
Net debt / EBITDA[9,6]	0.69xᶜ	1.32xᶜ	–	**0.93xᶜ**	▼ 0.39x vs FY2025
Equity, EUR m[9,6]	641.1*	651.7*	644.9*	657.6*	▲ 2.0 % vs 6M2025
Equity ratio[9,6]	42%*	41%*	41%*	**40%***	▼ 1 p. p. vs 6M2025
Total assets, EUR m[9,6]	1,529.0*	1,587.9*	1,567.7*	1,640.3*	▲ 4.6 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- AST runs Latvia's 330 kV and 110 kV transmission grid (330 kV: 17 substations, 1,727 km; 110 kV: 130 substations, 3,786 km) and owns 68.46% of Conexus Baltic Grid (gas transmission and the Inčukalns storage)[10].

- The Baltics synchronised with Continental Europe on 2025-02-09; the balancing capacity market has run since 2025-02-04[11].
- New three-year tariffs apply from 2026-01-01, with the average AST tariff falling by 10%[12].

04 Financials

- FY2025 revenue EUR 354.1m (258.6m), EBITDA EUR 90.8m (108.3m), profit EUR 27.5m (22.7m)[9].
- Borrowings EUR 189.0m and cash EUR 94.7m at 2026-06-30; the bonds (EUR 100.2m) are now short-term[6].
- **Dividends:** the parent company paid EUR 13.6m in 1H[13].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Synchronise the Baltics with Continental Europe	Done on 2025-02-09, confirmed as permanent[14,15]	Done[14].	**Met**
Refinance the EUR 100m bond (maturity 2027-01-20)	Cash EUR 94.7m and an SEB overdraft of up to EUR 90m; no new issue plan in the report[5]	Enough funds for the redemption[5].	**In progress**
Development Plan 2027-2036: EUR 1,066m of investment	Submitted to the regulator (PUC) on 2026-07-30[7]	Awaiting approval[7].	**In progress**

06 Investor information & conclusions

- **Instrument held:** a 0.5% green bond, EUR 100m, maturing 2027-01-20 (Nasdaq Riga since 2021-11-29)[16].
- **Redemption:** less than three months to maturity; cash (EUR 94.7m) and the undrawn EUR 90m overdraft cover the full amount[5].
- **Conclusion:** low risk thanks to state ownership, regulated business, an A- rating and secured redemption funding.

07 Market and environment

- **Profit rose** to EUR 22.5m (19.1m a year earlier) on higher power and gas transmission revenue[17]; power transmission revenue +8% thanks to balancing and congestion-management revenue (+EUR 41.8m)[17].
- **Tariffs:** new transmission tariffs from 2026-01-01; up to EUR 44.4m of accumulated congestion revenue can be used until end-2028, EUR 4.0m recognised in 1H 2026[18]. Gas storage revenue fell 36% on lower bookings and tariff[18].
- **Market:** the June power price in Latvia was EUR 92.23/MWh (+12.3% m/m) on lower wind output and a European heatwave[19]; synchronisation and renewables growth significantly increase the need for balancing reserves[7].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
Euro area AAA government 10-year yield	3.37% (2026-10)	3.23%	2.72%	▲ 0.65 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

No news about the issuer found in this period.

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - Electricity transmission and gas infrastructure
  - No activity in excluded sectors[10].

- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies found.

- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-10-27).

  Manual check
  - OFAC sanctions search[20]
  - EU Sanctions Map[21]
  - SEB eNameChecker (internal SEB system).

- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (2026-10-22).
  - News summary 2026-07-29 – 2026-10-27: 0 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - The grid connects renewables: five new connection agreements in Q1 2026, including a 160 MW hybrid plant
  - New links with Estonia, Sweden and Germany planned[22,23].

- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - Green bonds (2021) fund the transmission grid
  - SF6 equipment is being replaced[1,14].

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.
- Board appointments follow open competitions[24].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The Electricity & Renewable Energy policy[25].

Met
- The development plan integrates more renewables, ISO 45001 safety, an annual sustainability report[26].

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a state-owned regulated transmission company.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- A sustainability report under ESRS is published, with Scope 3 emissions from 2025
- Almost 100% of waste is recycled[27].

Additional comments:

Conclusion: No exclusions or red flags. The transmission grid is essential for renewable expansion.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. AST - Interim financial statements 12M 2025, p. 14, 2026
2. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11-12, 2026
3. Nasdaq Baltic - AST reports list, 2026-10-19
4. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 3, 2026
5. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 11, 2026
6. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 4, 2026
7. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 11, 2026
8. AST - Interim financial statements 12M 2025, p. 13, 2026
9. AST - Interim financial statements 12M 2025, p. 5, 2026
10. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 11, 2026-04-24
11. AST - Annual report 2025 (sustainability report and audited financial statements), p. 15-16, 2026-04-24
12. AST - Interim financial statements 12M 2025, p. 8, 2026
13. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 22, 2026
14. AST - Annual report 2025 (sustainability report and audited financial statements), p. 15, 2026-04-24
15. AST - Interim financial statements 12M 2025, p. 7, 2026
16. Nasdaq Baltic - AST 0.5% green bond LV0000802528, 2026-10-22
17. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 8, 2026
18. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 9, 2026
19. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 6, 2026
20. OFAC Sanctions List Search (US Treasury)
21. EU Sanctions Map
22. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 11, 2026
23. AST - Annual report 2025 (sustainability report and audited financial statements), p. 18, 2026-04-24
24. AST - Condensed interim financial statements 6M 2026 (unaudited), p. 5, 2026
25. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), p. 6-8, 2026-04-23
26. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8-9, 15, 2026-04-24
27. AST - Annual report 2025 (sustainability report and audited financial statements), p. 8, 24, 2026-04-24

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.